



LAZY DOG

— CAPITAL —

DEED IN LIEU — ACCEPTANCE CHECKLIST

INTERNAL USE ONLY — DO NOT SEND TO BORROWER

Run this before accepting any conveyance in lieu of foreclosure. Both Managers sign off. If any **HARD STOP** is triggered, do not accept the deed — proceed to foreclosure under Texas Property Code § 51.002.

Loan No.: _____ Borrower: _____

Property: _____ Date of review: _____

Default: _____ Notice date: _____ Cure expired: _____

1. TOTAL DEBT — COMPUTE FIRST

ITEM	AMOUNT
Unpaid principal	\$
Accrued interest at 12.000%	\$
Accrued interest at default rate 18.000%	\$
Late charges	\$
Advances — taxes	\$
Advances — insurance	\$
Advances — utilities, securing, preservation	\$
Fees, costs, legal	\$
TOTAL DEBT	\$

☐ Itemized statement prepared and saved to the deal folder (*becomes Exhibit B to the Settlement Agreement*)

2. VALUE TEST

INPUT	AMOUNT	BASIS
As-is value	\$	
Cost to complete	\$	
Est. carrying costs to sale	\$	
Est. selling costs	\$	

- ☐ As-is value determined in house — comps pulled and saved to the deal folder
- ☐ Cost to complete estimated in house, against the remaining scope of work

- ☐ Both figures documented in writing, with the basis stated — not just a number
- ☐ Photo and video documentation of current condition, timestamped, room by room

As-is value minus Total Debt = \$ _____

- **Negative or near zero** → deed in lieu is appropriate
 - **Modest positive** → acceptable with the true-up in place
 - **Large positive** → **HARD STOP**. Foreclose. A foreclosure sale establishes reasonably equivalent value as a matter of law; a private conveyance does not.
- ☐ Value test result reviewed by both Managers

3. CREDITOR & BANKRUPTCY SCREEN

- ☐ Borrower has no other stalled or defaulted projects known to us
- ☐ No other lender, judgment creditor, or collection action pressuring Borrower
- ☐ No bankruptcy filed by or against Borrower or any Guarantor
- ☐ Borrower has not stated or implied any intent to file
- ☐ No assignment for benefit of creditors, receivership, or dissolution

Any of the above unclear or adverse → HARD STOP. The 90-day preference window and the 2-to-4-year fraudulent transfer window run against us. Foreclose instead.

4. TITLE & LIENS

- ☐ **Current lien search ordered and reviewed** — dated within 10 days, not the closing commitment

Source (circle): independent abstractor · attorney's office · direct county clerk + district clerk search

Must cover: deeds, deeds of trust, mechanic's liens, tax liens, abstracts of judgment, lis pendens, HOA assessments

- ☐ Every lien, judgment, and encumbrance identified and listed
- ☐ Ad valorem taxes current, or amount owed known
- ☐ HOA dues current, or amount owed known

Mechanic's lien priority — Texas Property Code Ch. 53:

- ☐ Inception-of-work date determined: _____
- ☐ Deed of Trust recording date: _____

☐ **Confirmed that no work commenced and no materials were delivered before our Deed of Trust was recorded**

Texas mechanic's liens relate back to inception of work, not filing date. A lien filed after our Deed of Trust may still prime it if work began first. Foreclosing our lien will **not** clear a lien with earlier inception.

- ☐ All known Chapter 53 notices collected and reviewed

Junior lien plan — for each junior lien, choose one:

LIEN	AMOUNT	BOND / PAY / FORECLOSE OUT / DECLINE DEED

Any lien with inception before our Deed of Trust → HARD STOP. Foreclosure will not clear it either, but do not compound the problem by taking title to it.

5. PROPERTY CONDITION

- ☐ Property inspected in person by a Manager within the last 7 days
- ☐ Property secured — locks, boarding, utilities status known
- ☐ No open code violations, stop-work orders, or permit revocations, or plan in place to resolve
- ☐ No known environmental condition
- ☐ No occupants, tenants, or squatters
- ☐ Insurance quote obtained for a vacant/renovation policy in Lazy Dog's name, effective the recording date

6. CAPITAL PARTNER

- ☐ Loan is / is not collaterally assigned to a Capital Partner (*circle one*)

If assigned:

- ☐ Capital Partner notified of the default in writing
- ☐ **Capital Partner's written consent to accept the deed obtained and saved**
- ☐ Capital Partner's continuing return and payoff expectations documented

A conveyance affects the Note against which the collateral assignment runs. Do not accept a deed without written CP consent.

7. BORROWER COOPERATION

- ☐ Borrower has approached us, or has responded willingly — we are not pressuring
- ☐ Borrower has been told to consult their own attorney
- ☐ Borrower has been told the deficiency waiver may create taxable cancellation-of-debt income and to consult their own tax advisor
- ☐ Borrower will complete and swear Schedule 1 of the Estoppel Affidavit in full
- ☐ Borrower will deliver keys, codes, plans, permits, and construction documents

8. CONSIDERATION SELECTED

- ☐ Guarantee release (*normally yes*)

- ☐ Deficiency waiver (*normally yes*)
- ☐ Other: _____
- ☐ Disposition fee set at ____% (*default 5%*)
- ☐ True-up period confirmed at 12 months

9. DOCUMENTS TO EXECUTE

- ☐ Settlement and Release Agreement
- ☐ Estoppel Affidavit with Schedule 1 completed — **sworn before a notary**
- ☐ Special Warranty Deed in Lieu of Foreclosure — **original signature, notarized**
- ☐ Bill of Sale and Assignment of Contracts, Permits, Plans and Warranties
- ☐ Itemized Total Debt statement attached as Exhibit B
- ☐ Legal description confirmed **identical** to the recorded Deed of Trust

10. AFTER ACCEPTANCE

- ☐ Special Warranty Deed recorded — {{COUNTY}} County Clerk
- ☐ **Grantee's mailing address appears on the face of the deed** (*Tex. Prop. Code § 11.003*)
- ☐ Vacant/renovation insurance bound effective the recording date
- ☐ County appraisal district notified — owner and mailing address updated
- ☐ HOA notified, if applicable
- ☐ IRS Form 1099-A prepared (*borrower copy by Jan 31; IRS by Feb 28, or Mar 31 if e-filing*)
- ☐ IRS Form 1099-C prepared, if deficiency waived
- ☐ Capital Partner notified of the completed conveyance
- ☐ **Release of Lien NOT recorded** — the Deed of Trust lien is preserved for the junior-lien remedy
- ☐ Junior lien plan executed
- ☐ True-up deadline calendared: _____ (*recording date + 12 months*)

DECISION

- ☐ **ACCEPT THE DEED** — no HARD STOP triggered, all sections cleared
- ☐ **DECLINE — PROCEED TO FORECLOSURE**

Reason: _____

_____ Date: _____

Lewis McKnight, Manager

_____ Date: _____

Stephen Maner, Manager

WHEN TO FORECLOSE INSTEAD — QUICK REFERENCE

SITUATION	ACTION
Clear equity above Total Debt	Foreclose
Value uncertain and no true-up agreed	Foreclose
Other creditors circling, or bankruptcy risk	Foreclose
Mechanic's lien with inception before our lien	Foreclose
Borrower uncooperative or won't swear Schedule 1	Foreclose
Capital Partner won't consent	Foreclose
Underwater, cooperative borrower, clean liens	Deed in lieu
Uncertain value but we want the property	Deed in lieu with true-up

Texas non-judicial foreclosure runs roughly 50–60 days: 20-day cure notice, 21-day notice of sale, sale on the first Tuesday of the month. It produces clean, insurable title and establishes value as a matter of law. **The extra weeks are usually worth it.**

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